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ALL YOU REALLY NEED TO KNOW ABOUT INVESTING

Getting a Foothold in this Rocky Landscape

EVERYONE KNOWS THE stock market can be risky. Stocks skyrocketed in the 1990s, tumbled from 2000 through 2002, recovered, and then had one of the worst years in history in 2008. Clearly, volatility is the name of the game. But whether the market is rising or falling, one thing is certain: Nobody really knows where it will go next.

So what do you do?

No matter what's happening in the stock market, once you have enough to cover your living expenses and are getting started on your emergency savings cushion, you should at least learn the basics of investing. There are some simple rules for putting your money in everything from safe investments that pay a little more than a bank account to riskier alternatives that give you the chance to earn more. Whatever your comfort level, you should be thinking about an investment known as a mutual fund. In fact, you can consider mutual funds your entire investment universe, at least for now. This chapter will explain what mutual funds are and how you might want to use them to meet the goals you formulated in Chapter 2. Later in this chapter, you'll learn how to actually go about investing in them.